

short-term reversal or contrarian effect in returns at the one-week or one-month level. This is said to be related to liquidity or microstructure issues. We will use broad-based stock market indexes for our momentum model, because they are less subject to noise than individual stocks, and their transaction costs are much lower. Indexes are also less subject to liquidity and microstructure issues, so we will not need to skip a month.

APPLIED ABSOLUTE MOMENTUM

We will first look at absolute momentum applied to the S&P 500 Index. This means if the S&P 500 shows a positive excess return (return less the Treasury bill rate) during the past 12 months, we stay invested in it. If the prior 12-month excess return of the S&P 500 is negative, we exit the S&P 500 Index and hold the Barclays U.S. Aggregate Bond Index instead. We stay in aggregate bonds until the excess return of the S&P 500 is again positive. The Barclays U.S. Aggregate Bond Index is a relatively stable index of high-quality, investment-grade (78% AAA-rated) bonds with an average maturity under five years.² Since its inception in 1976, it has held up well during every bear market in stocks. This should make it a relatively safe place to park our capital when the stock market is weak.³ What we are doing in effect is staying in stocks if the market has been up for the past year and exiting to the safety of shorter-term bonds if the stock market has been down for the past year. Our approach is both simple and easy.

Table 8.1 and Figure 8.1 show the results of applying absolute momentum to the S&P 500 Index versus the S&P Index without the application of absolute momentum.⁴

Table 8.1 S&P 500 Absolute Momentum, 1974–2013